A PRACTICAL FIELD GUIDE

How to find the levels that matter, read what price does at them, and build trades around them without guessing.

TWENTY PAGES · TEN CHAPTERS · SEVEN DIAGRAMS · PRACTICE PLAN

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This guide teaches a method, not a signal service. Every chart is a stylised illustration built to isolate one idea; real markets are noisier and no level is guaranteed to hold.

CHAPTER 1 · THE FOUNDATION

What support and resistance actually are

Two words carry an enormous amount of trading literature, and most of it makes them sound like physical law. They are not. Support and resistance describe a **recurring behavioural pattern**: price moves into an area, and the flow of buying or selling there is strong enough to slow, stall or reverse the move. That is the whole idea. Everything else in this guide is about identifying those areas more reliably and managing what happens when they fail.

Definitions worth memorising

Support is a price area below the current market where buying pressure has repeatedly been strong enough to halt a decline. Price falls into it, demand absorbs the selling, and the fall stalls or turns up. Think of it as a floor — not a solid one, but a surface that has held before.[web:35][web:37]

Resistance is the mirror image: a price area above the market where selling pressure has repeatedly stopped a rally, either because new sellers arrive or because existing longs take profit. Think of it as a ceiling.[web:35][web:42]

Both are conventionally drawn from past price action — the highs and lows where the market previously turned — which is why the method is sometimes called "reading the chart from the left".[web:34]

Three reframes that change how you trade them

- **They are areas, not prices.** A level is a band where orders cluster, typically spanning a few ticks to a few dozen pips. Treating it as a razor-thin line leads to stops placed inside noise.[web:36][web:42]
- **They describe tendency, not certainty.** A level that has held five times can break on the sixth. The level tells you where to look; the reaction at the level tells you what to do.
- **They work because people use them.** Levels matter partly because a large number of participants watch the same obvious prices, place orders there, and put stops just beyond them. That coordination is the mechanism, and it is also why obvious levels are where stop runs happen.[web:36][web:39]

> **Why this matters for your P&L**
>
> Support and resistance is not a prediction tool. Its real job is to give you a small number of prices where the reward-to-risk of a trade is measurably better than at a random moment — a defined invalidation point, and a defined first target.

CHAPTER 1 · THE FOUNDATION

Reading the picture: what price does at a level

A level on its own is just a horizontal line. The information is in the *interaction*. Price can arrive at a zone and bounce, reject, grind through, or slice through and snap back — and each of those tells you something different about who is in control.

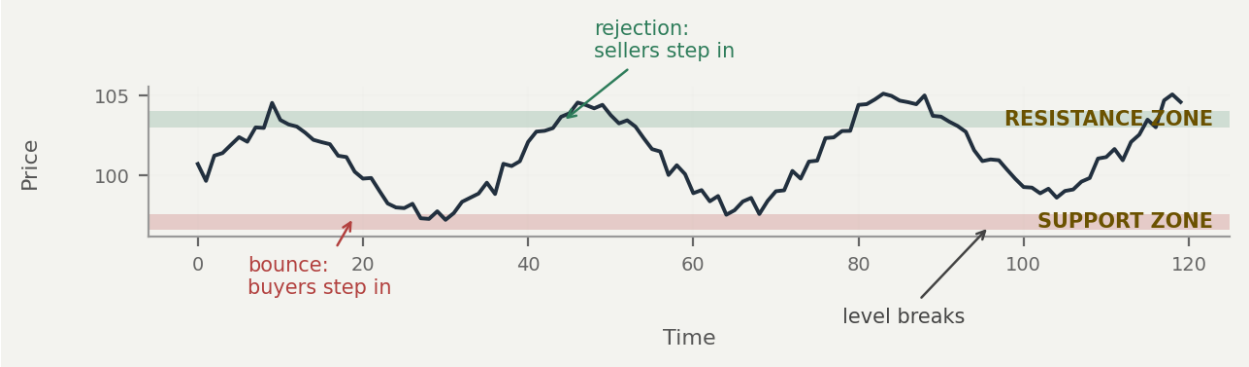


Figure 1. Price oscillating between a resistance zone (top) and a support zone (bottom). The left side shows a bounce off support; the middle shows rejection at resistance; the right shows a decisive break lower. Stylised illustration.

The three questions to ask at every level

- **How did price arrive?** A fast, vertical approach is different from a slow drift. Fast approaches often overshoot and exhaust; slow approaches grind a level down.
- **What did it leave behind?** A long wick through the zone with a close back inside is a rejection. A wide-bodied close beyond it is acceptance.
- **Where did it close?** Closes are the market's verdict. Intraday pokes through a level are noise; where the session or candle finishes is the opinion that persists into the next period.[web:41]

Bounce, break and fakeout are the only three outcomes. Every strategy you will ever read about at a level is a variation on trading one of them: buying the bounce, joining the break, or fading the fakeout. Naming which one you are trading — before you enter — keeps you honest about what would prove you wrong.

CHAPTER 2 · MECHANICS

Why price reacts at these levels at all

If levels were arbitrary, they would not work. Something concrete has to be happening in the order book. Four explanations carry most of the weight, and they are not mutually exclusive.

1. Resting orders cluster at memorable prices

Limit orders sit in the book at prices traders have chosen in advance. Because people choose those prices by looking at the same chart, the orders pile into the same bands. When price reaches a band with a large bid stack, it takes a lot of selling to clear it — which shows up on your chart as a bounce.[web:36]

2. Stop-losses cluster just beyond the obvious

Almost everyone who buys at support puts a stop a little below it. That produces a dense pocket of sell orders a few ticks under the floor. Price can be pushed into that pocket cheaply, which triggers the stops, fills the larger seller, and then reverses — the mechanics behind the false breakouts covered in Chapter 7.[web:44]

3. Anchoring, regret and the breakeven trade

Traders who bought at a level that later broke are underwater. When price returns to their entry, many sell simply to get out at breakeven. That supply is why a broken floor so often becomes a ceiling. The reverse holds for those who sold too early and now buy the retest.[web:38][web:40]

4. Coordination is self-fulfilling

A level works partly because enough participants believe it will. That is a real force, not a trick, but it is fragile: the moment the crowd's belief flips, the same level becomes the place where the crowd is wrong. This is the honest version of the concept — a tendency, not a law of nature.[web:38][web:45]

CHAPTER 3 · IDENTIFICATION

Finding levels: start with structure

Beginners look for levels everywhere and end up with a chart covered in lines. Professionals do the opposite: they mark fewer levels, and they mark the ones the market has already voted on. The starting point is always market structure — the swing highs and swing lows that define the shape of the recent move.

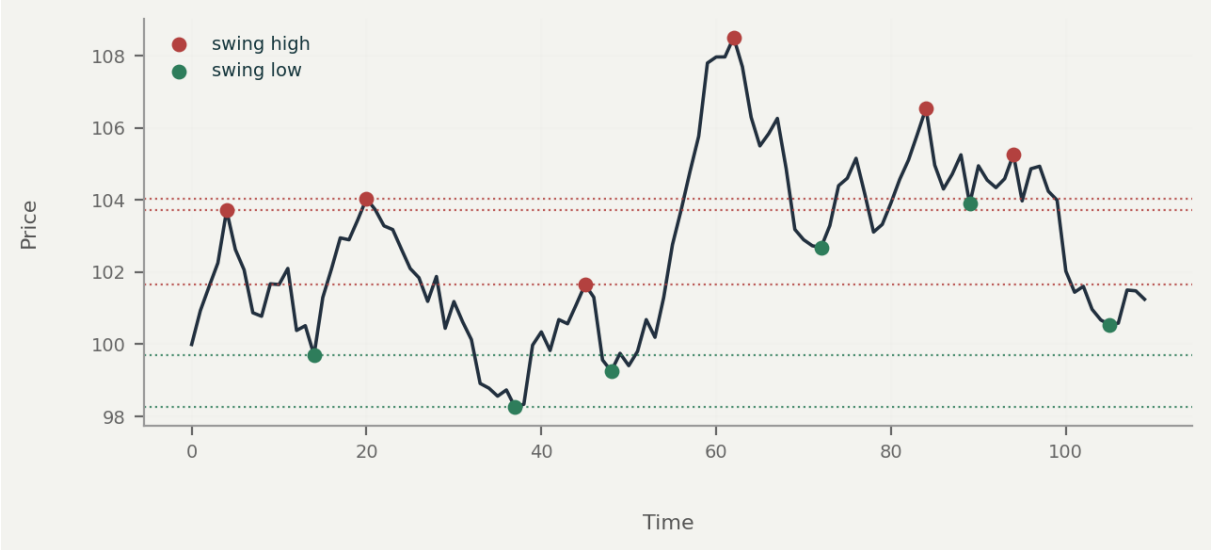


Figure 2. Swing highs (red) and swing lows (green) marked automatically. Horizontal levels drawn from these points are the raw material of support and resistance.

The look-left method

- Find a price where the market turned down and left a visible peak: that spike is a candidate resistance.
- Find a price where it turned up and left a visible trough: that is a candidate support.[web:37]
- Draw from the **wick extremes** first, then compare with the cluster of closes. If they disagree, prefer the zone that contains both.
- Repeat across the visible chart, then delete anything that has never been revisited. Untested levels are hypotheses, not levels.[web:39]

How much evidence a level needs

Qualification	Interpretation
Two touches	Minimum viable. Worth watching, not worth building a plan around.
Three or more touches	Established. The market has repeatedly accepted the price.
Touches spread over time	Stronger than three touches inside a week, which may be one pause rather than a level.
Recent and untested since the break	Fresh levels tend to matter more than ones buried in old consolidation.

One practical constraint: two or three clean levels per instrument per timeframe is plenty. If you cannot decide which line matters, the market probably cannot either, and that is itself a reason to stand aside.

CHAPTER 3 · IDENTIFICATION

Beyond swings: where else levels come from

Swing points are the backbone, but price also reacts at prices that were never swing highs or lows. These sources matter because they are visible to everyone, and visibility is what creates order clustering.

Source	Where it comes from	Typical use
Prior day / week / month high and low	The extremes of a completed period	Intraday reference points; the prior day high is one of the most-watched prices in any session
Session opens	Daily open, London open, New York open	Reference for intraday bias; price above or below the open frames the day
Round numbers	1.1000, 5,000, 100.00	Human beings anchor on round numbers; option strikes cluster near them
Gaps	Weekend or news gaps	The edge of a gap often acts as support or resistance when filled
VWAP	Volume-weighted average price for the session	Institutional benchmark; intraday mean-reversion magnet
Moving averages	20, 50, 200 period	Dynamic support in a trend; see Chapter 6
High-volume nodes	Volume profile / market profile	Prices where the most business was transacted historically
Fibonacci retracements	38.2%, 50%, 61.8% of a swing	Useful mainly as confluence with a structural level, rarely alone

A ranking you can defend

Not all levels are equal, and you need a hierarchy before you start. The order below runs from most to least significant, and it is a reasonable default: **weekly and monthly swing points**, then **daily swing points and the prior week's extremes**, then **intraday session extremes and round numbers**, and finally derived or calculated levels such as Fibonacci ratios. When a calculated level sits on top of a structural one, that coincidence — not the calculation — is the reason to care.

CHAPTER 4 · DRAWING

Zones, not lines — and how wide to draw them

The single most common failure in retail chart work is drawing a level as a hairline and then expecting price to respect it to the pip. Markets do not respect pips; they respect areas where the order flow changed. Draw zones.[web:42][web:43]

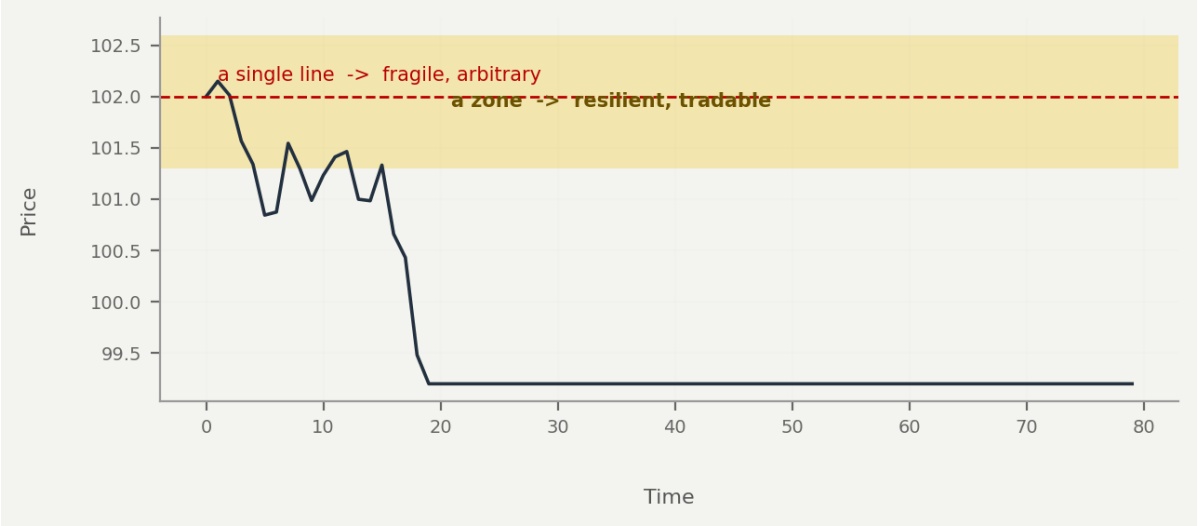


Figure 3. The same reaction band drawn as a line (dashed) and as a zone (shaded). The zone contains every turning point; the line contains almost none.

How to size a zone

- Anchor on the wick extremes of the turning candles, then extend to include the bodies of the cluster.
- If the cluster is wide, split the difference: half above the mean close, half below.
- As a rule of thumb, a zone roughly one-fifth to one-third of the average daily range is workable on most instruments; much wider and it stops being information.
- In FX majors that typically lands around 10 to 25 pips; on an index like the S&P it may be 10 to 20 points.

Why the width is not pedantry

Zone width determines where your stop goes, and your stop placement determines your position size — which determines your risk. A 5-pip-wide zone invites a stop 8 pips away, which is inside the noise and gets hit routinely. A zone that reflects the actual reaction band lets you put the stop where the idea is genuinely wrong, not where a random tick can reach it.

> **The three-second test**
> If a stranger looked at your chart for three seconds, could they see why the zone is there? If it needs explaining, it is too complicated to trade.

CHAPTER 5 · ROLE REVERSAL

When a floor becomes a ceiling

Break a support zone, let price travel away, then bring it back — and the old floor frequently behaves like a new ceiling. The mirror also holds. This is **role reversal**, or polarity, and it is the most useful single idea in level trading because it tells you where to look *after* a break.[web:34][web:38]

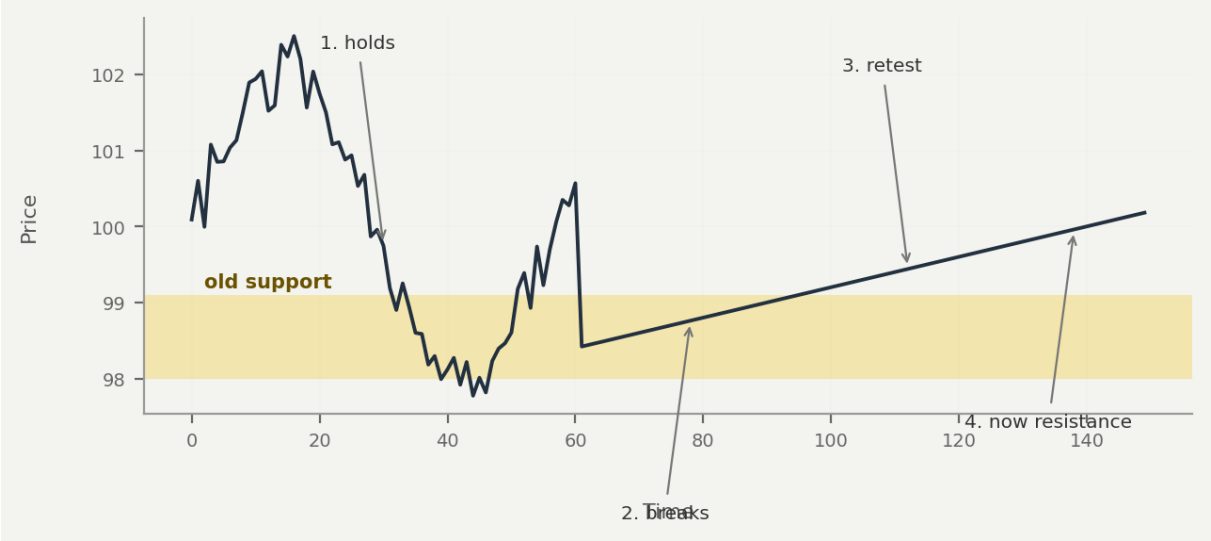


Figure 4. The four-step sequence: a support zone holds, breaks, gets retested from below, and then caps the rally as resistance. Resistance breaking upward follows the same path in reverse.

The sequence to wait for

- **1. Established level.** A zone with at least two prior reactions. One touch proves nothing.
- **2. Decisive break.** A close beyond the zone, ideally on above-average volume — not a wick.
- **3. Retest.** Price returns to the zone from the other side. This is the decision point, not the break itself.[web:46][web:47]
- **4. Hold or fail.** If the retest is rejected, the reversal is confirmed and you have a low-risk entry with a tight invalidation. If price closes back through the zone, the break failed and you stand aside.

Why the retest is where the money is

Buying the break means buying after the move has already extended, with a stop that must sit behind the zone you just left. Waiting for the retest compresses the stop to the far edge of the zone and puts your entry back at the level that is now doing the work. The cost is that some strong breaks never retest — you miss those, and you should accept that trade-off deliberately rather than chase.

> *An honest caveat: role reversal is a commonly discussed tendency, not a guaranteed mechanism. Some breaks never retest; some retests slice straight back through. The edge comes from the stop being small and the level being real, not from the flip being certain.[web:38]*

CHAPTER 6 · DYNAMIC LEVELS

Trendlines, the moving floor

Everything so far has been horizontal. A trendline is the same idea tilted: a diagonal line connecting successive higher lows in an uptrend, or lower highs in a downtrend, which acts as dynamic support or resistance as price travels.

How to draw one you can defend

- Two points define a line; a **third touch that respects it** is what validates it. Until then it is a guess with a slope.
- In an uptrend, connect swing lows. In a downtrend, connect swing highs. Do not mix the two.
- Draw through wicks for the outer boundary and through closes for the inner one; treat the space between as a zone, exactly as with horizontals.
- Use a semi-log scale on long-term charts, or steep lines will distort visually.

What a trendline break actually means

A trendline break is a **change of pace**, not automatically a change of trend. The first break often produces a pullback into the line from the other side — role reversal again, now on a diagonal — and the market only reverses if that retest fails. Treat the break as a warning that the rhythm has changed and the retest as the confirmation.

Channels: the same line twice

Draw a parallel line from the opposite swing and you have a channel. Channels are useful for two things: defining where a trend is overextended (the far side), and identifying where a counter-trend entry has a defined target (the near side). The failure mode is redrawing the channel every time price pokes out of it — a channel you keep adjusting is not a channel, it is a story.

> **The discipline point**
> If you have to move a line to keep it valid, it was never valid. Delete it and wait for a line the market respects without your help.

CHAPTER 6 · DYNAMIC LEVELS

Averages, VWAP and the cost-basis effect

Moving averages act as dynamic support in trends for a reason that is less mystical than it looks: they are a rolling estimate of the average participant's cost. When price pulls back to that estimate, traders who are long and comfortable add, and those who missed the move use it as an entry. Both create demand at the same place.

Tool	What it is	How traders use it
20-period MA	Short-term mean	Pullback support in strong intraday and swing trends
50-period MA	Medium-term mean	The classic "trend is intact" line on the daily chart
200-period MA	Long-term mean	Bull/bear regime divider; heavily watched on daily and weekly charts
VWAP	Session volume-weighted average	Intraday institutional benchmark; price above = buyers in control
Bollinger mid-band	20-period MA by construction	Mean-reversion magnet in ranges, trend guide in trends

Two cautions that save accounts

- **Averages are lagging.** They are computed from past prices, so they cannot lead. Use them to describe the trend you are in, not to predict the next turn.
- **The slope matters more than the touch.** A rising 50-period average that price keeps reclaiming is a trend. A flat one that price chops across repeatedly is a range, and every touch is a coin flip.

Where dynamic and horizontal levels disagree

When a moving average and a horizontal zone sit at the same price, that is confluence and worth noting. When they contradict each other, the horizontal level usually wins, because it is a record of actual transactions rather than a rolling statistic. A trendline and a horizontal zone at the same price is the strongest version of the setup, and it is exactly what the confluence checklist in Chapter 8 is built to score.

CHAPTER 7 · CONFIRMATION

Volume: the layer that separates real from thin

Volume does not tell you direction. It tells you **participation** — whether many participants acted or whether price drifted through an empty level. That distinction is the whole value of the tool at support and resistance.[web:36][web:46]

How to use it without a volume indicator argument

- Compare the current bar's volume to a **rolling baseline** — the median of the prior 20 sessions is a robust choice.[web:44]
- Relative volume above roughly 1.5x baseline on a breakout suggests real participation; a breakout on unusually low volume deserves suspicion.[web:46]
- A **climax** — a single bar far above baseline at the end of an extended move into a level — often marks exhaustion rather than strength, and frequently precedes a reversal or a long consolidation.
- Volume on a **rejection** matters too: heavy volume with a close back inside the zone means sellers absorbed the buyers.

The one number worth remembering

One published study of level breaks found that breakouts accompanied by at least 1.5 times average volume failed about **38%** of the time, versus roughly **72%** for those without that confirmation.[web:41] Treat the precise figure as indicative rather than gospel — the sample and instrument are not universal — but the direction of the effect is consistent with decades of practitioner observation.

A caveat for FX traders

Spot FX has no central exchange, so the volume you see in MetaTrader and most retail platforms is **tick volume** — a count of price updates, not contracts. It is still useful as a relative measure on the same instrument, but it is not comparable across brokers or to futures volume. On equities and futures you are seeing real share or contract volume, which is a stronger signal.

CHAPTER 7 · CONFIRMATION

Breakouts and retests

Most losing breakout trades share one cause: the trader treated a poke through a level as a break. A break is a close, ideally with participation, that the market then defends.

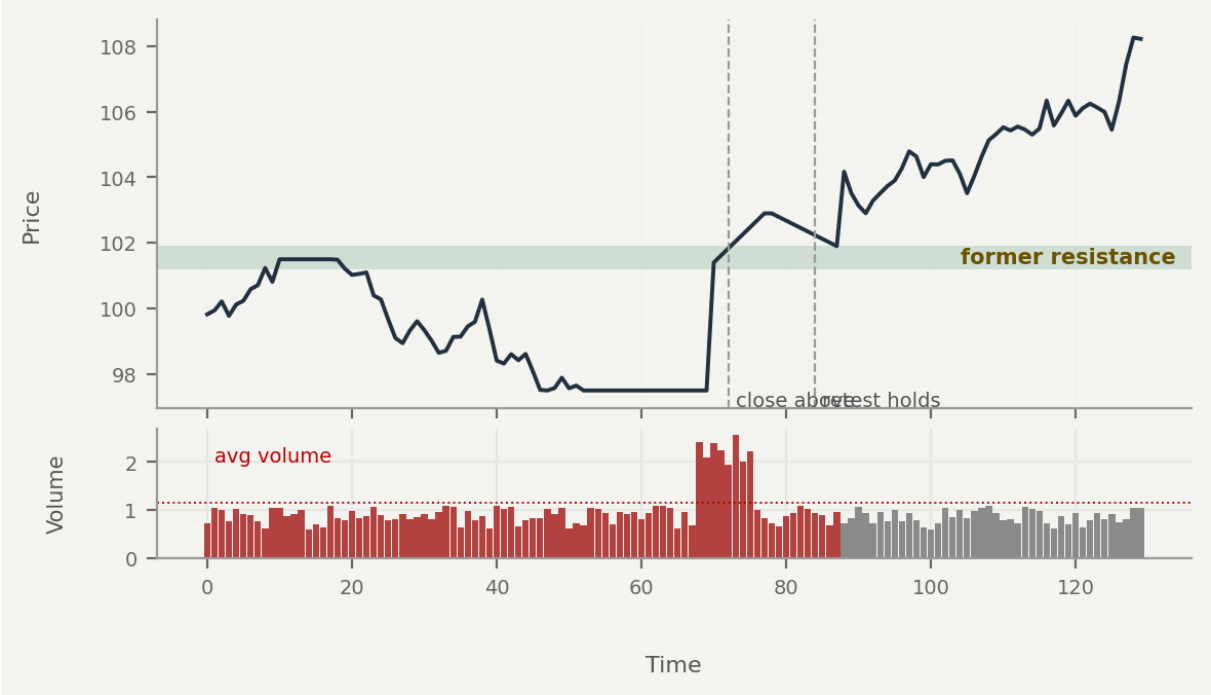


Figure 5. Resistance broken on a wide-range close with volume well above the 20-bar average (lower panel), followed by a shallow retest that holds and continues. Stylised illustration.

A filter set you can actually apply

Filter	Rule of thumb	Why
Close	Close beyond the zone on the entry timeframe	A wick is a test; a close is a verdict
Buffer	Beyond the far edge of the zone, not the near edge	Prevents "broke by a tick" entries inside the noise
Volume	At least ~1.5x the 20-period median	Participation, not drift[web:46]
Follow-through	Next bar does not immediately reverse	One close can be a squeeze; two is a statement
Context	Break in the direction of the higher-timeframe trend	Counter-trend breaks fail more often

Two entries, one break

The **break entry** takes the close and accepts a wider stop behind the zone. It captures moves that never retest and gets chopped up when they do. The **retest entry** waits for price to come back to the zone from the other side and enter only if it holds. It has a tighter stop, a higher win rate on the trades it takes, and it misses entirely when momentum never looks back. Pick one and be consistent, or you will find yourself taking the break entry on impulse and the retest entry only when you are already in profit elsewhere.

CHAPTER 7 · CONFIRMATION

False breakouts and how to trade them

A false breakout — a fakeout, or a trap — clears a level, draws in breakout traders, then reverses back inside the range. It is not an anomaly. It is a normal feature of markets where stops cluster just beyond obvious prices.[web:41][web:44]

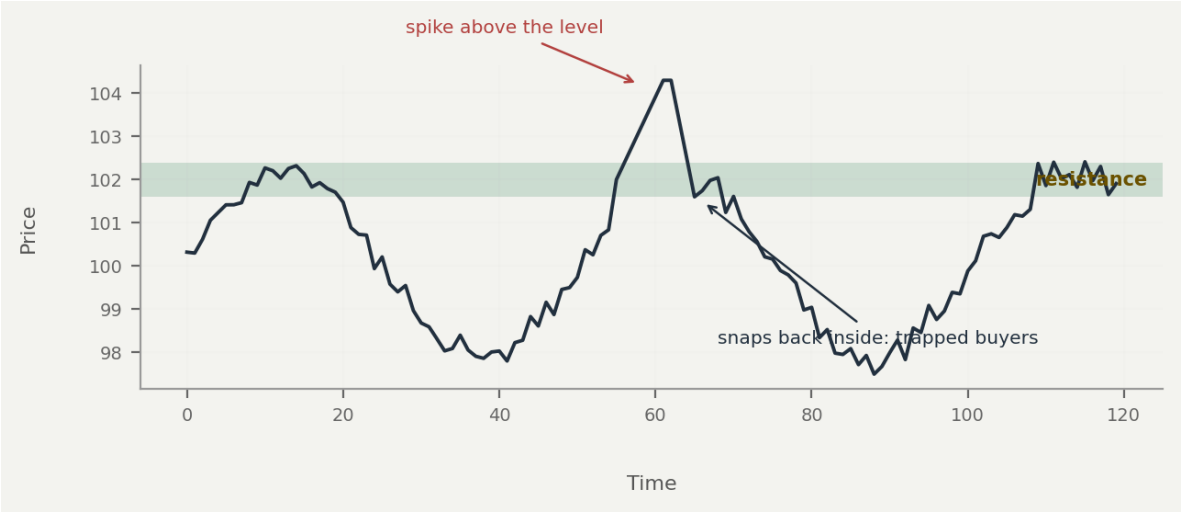


Figure 6. A spike through resistance with no follow-through, closing back inside the range. The trapped buyers become the fuel for the reversal.

Signs you are looking at one, in real time

- The move through the level happens on **thin volume** relative to the baseline.[web:46]
- Price closes back **inside** the prior range within a bar or two of the break.[web:44]
- The breakout bar is a long wick with a small body — a rejection dressed as a break.
- The break happens directly into a higher-timeframe level, which is where the opposing orders were waiting.

How to trade it

The low-risk version is to wait for the **failure to be confirmed** — a close back inside the range — and then trade in the direction of the trap, with a stop beyond the extreme of the failed spike. That stop is usually very tight, which is what makes the trade attractive. The mistake is trying to catch the reversal while the spike is still in progress: you cannot know yet whether it is a trap or the start of a real move, and guessing at that moment is how accounts get hurt.

> **Reframe worth internalising**
> A false breakout is not a failed level. It is a completed test that told you, definitively, where the liquidity was. That information is often worth more than a breakout that worked.

CHAPTER 8 · SELECTION

Multiple timeframes: which level wins

Every trader has had the experience of a beautiful support level on the 15-minute chart that gets flattened because a weekly level was sitting twenty pips lower. Levels exist in a hierarchy, and the higher timeframe outranks the lower one.

The top-down routine

- **Weekly / monthly:** where is price in the bigger structure? Above or below the prior range? Are we near a multi-year extreme?
- **Daily:** mark the two or three levels that have produced real turns. This is your map for the week.
- **4-hour / 1-hour:** mark the intraday zones inside the daily ones. These give you entry precision.
- **15-minute:** used only for timing and stop placement — never for deciding direction.

Resolving conflicts

Situation	Sensible default
Daily resistance vs. 1-hour support	Expect the daily level to dominate; do not buy into resistance because a small timeframe says support
Daily trend up, 1-hour trend down	Treat the down move as a pullback and look for long entries at the next daily-flavoured zone
Levels on three timeframes within a few pips	Confluence. Highest-quality setups usually look like this
No level on the higher timeframe at all	The lower-timeframe level is the only reference — trade it smaller

The practical filter

A workable rule: take trades only at a level that is visible on **at least one timeframe above your entry timeframe**. That single constraint removes most of the noise-chasing that comes from marking every wiggle on a five-minute chart, and it forces you to do the top-down work before you are tempted to click.

One more thing: timeframes do not need to agree perfectly. What they must not do is contradict on risk — meaning you should never be taking a trade whose stop sits immediately in front of a much larger opposing level. That is not confluence, it is a coin flip with extra steps.

CHAPTER 8 · SELECTION

Rating a level before you risk money

Give every candidate level a score out of ten before you trade it. The score does not make the decision for you, but it stops you from taking the third-best setup of the morning because you were bored.

Criterion	Score	What earns the point
Touches	0-2	2 points for three or more respected touches over time
Timeframe	0-2	2 points if the level is visible on a timeframe above your entry timeframe
Recency	0-1	The most recent reaction is recent and clean
Volume reaction	0-1	Visible absorption or expansion at the level
Confluence	0-2	Trendline, moving average, round number or Fibonacci stacked at the same price
Approach	0-1	Price arrives with room, not in a vertical exhaustion spike
Room to target	0-1	At least 2R available before the next opposing level

How to read the score

- **8-10:** A-level. Full position size within your risk rules.
- **6-7:** B-level. Tradeable, consider half size or tighter management.
- **4-5:** Watchlist. Note it and wait; a level can improve with another touch.
- **0-3:** Ignore. If you find yourself trading these, the problem is not the level.

The point of a checklist is not accuracy — it is **consistency**. Two traders using the same checklist will take different trades and both be fine, because each can explain their decisions afterwards. Without one, you cannot tell whether a losing run is bad luck or a broken process.

CHAPTER 9 · EXECUTION

Anatomy of a trade at a level

A level gives you three prices: where the idea is entered, where it is proven wrong, and where it is paid. If you cannot name all three before you click, you are not trading a level — you are reacting to a chart.

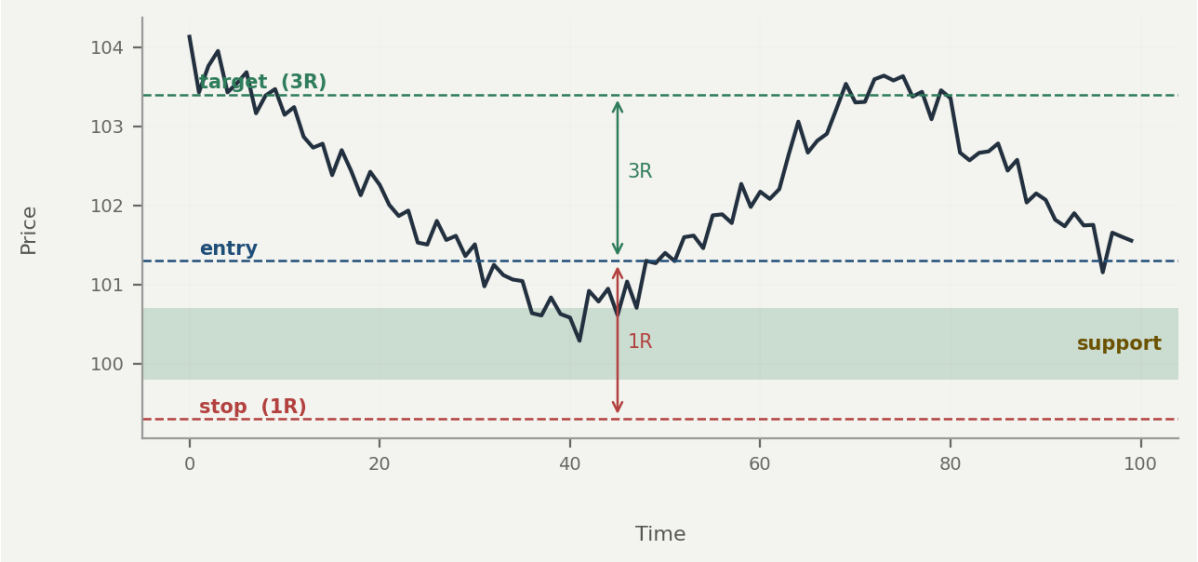


Figure 7. Entry inside the support zone, stop just beyond its far edge, target at the next opposing level for a 3:1 reward-to-risk ratio. Stylised illustration.

Three ways to enter a bounce

Entry style	Mechanics	Trade-off
Limit order in the zone	Passive fill at or near your price	Best price, but you get filled into losers indiscriminately
Confirmation candle	Wait for a rejection bar closing back out of the zone	Slightly worse price, far better selection
Lower-timeframe shift	Wait for structure to break in your direction on a 5-15 min chart	Slowest, highest win rate, misses fast moves

Stops and targets

- Place the stop beyond the **far edge** of the zone plus a buffer for spread and noise — not at the middle, not at the near edge.
- If that stop is wider than your risk plan allows, reduce size rather than tightening the stop into the noise.
- Target the **next opposing level**, not a round number of pips. If the next level is only 1R away, the trade is not worth taking.

The last point is where most of the edge lives. A support level with no room before the next resistance is not a trade no matter how clean the bounce looks, and forcing it is how traders end up with a hit rate that looks respectable and a P&L that does not.

CHAPTER 9 · EXECUTION

A worked example, with the arithmetic

Numbers make the method concrete. Suppose EUR/USD has bounced from a support zone between 1.0840 and 1.0855 three times in the past month, and price is now testing it again from above. The prior swing high sits at 1.0940.

Step	Value	Reasoning
Zone	1.0840 - 1.0855	Three prior reactions; scored 8/10 on the checklist
Entry	1.0850	Limit inside the zone, upper half
Stop	1.0830	20 pips below the far edge, giving buffer for spread
Target	1.0940	The next opposing level, 90 pips above entry
Risk	20 pips	= 1R
Reward	90 pips	= 4.5R

Turning that into position size

Rule: risk a fixed percentage of the account per trade, and let the stop distance decide the size — never the other way around. With a $10,000 account and 1% risk, the maximum loss is $100. On EUR/USD a standard lot is $10 per pip, so 20 pips of stop equals $200 per lot. Size = $100 / $200 = **0.5 lots**.

Account	Risk %	Risk $	Stop (pips)	$ per pip at 1 lot	Position size
$10,000	1%	$100	20	$10	0.50 lots
$25,000	1%	$250	35	$10	0.71 lots
$5,000	0.5%	$25	15	$10	0.17 lots

Why the maths beats the win rate

At 4.5R with a 40% hit rate, expectancy per trade is (0.4 x 4.5) - (0.6 x 1) = **+1.2R**. At 1R with a 70% hit rate, expectancy is (0.7 x 1) - (0.3 x 1) = +0.4R. The lower-win-rate trader with disciplined 4.5R targets makes three times as much per trade. This is the actual reason support and resistance matters: it is a machine for finding asymmetric risk, not a machine for being right.

CHAPTER 10 · DISCIPLINE

Ten mistakes that cost the most

Almost every recurring loss in level trading comes from one of these. Read them as a diagnostic list rather than a lecture.

- **1. Too many lines.** A chart with fifteen levels has no levels. Keep two or three per timeframe.
- **2. Hairline levels.** Drawing support as a single price guarantees the stop sits inside noise.[web:42]
- **3. Treating a wick as a break.** Breaks are closes. Everything else is a test.[web:41]
- **4. Buying into resistance.** A 1-hour support directly beneath a daily resistance is not a setup.
- **5. Chasing the break.** Entering late, with a stop far behind the zone, converts a 3R trade into a 0.8R trade.
- **6. Ignoring the higher timeframe.** The most common cause of "the level did not work".
- **7. Moving the stop.** A stop is the price at which you were wrong. Moving it means you were wrong about being wrong.
- **8. No invalidation level.** If you cannot state what would prove the trade wrong, you are gambling with extra steps.
- **9. Averaging into a loser at a broken level.** The level already failed; adding size multiplies the error.
- **10. Trading every touch.** The fourth test of a level is often weaker than the first — each retest consumes the orders that made it work, and the crowd learns the price.

One meta-mistake sits above all ten: taking these trades without recording them. If you do not know your own hit rate at support versus at resistance, or in trends versus ranges, you have no way to know which of the ten is costing you the most.

CHAPTER 10 · DISCIPLINE

A 30-day practice plan and journal template

Competence at this comes from repetition with feedback, not from more reading. Thirty days of deliberate practice is enough to see your own patterns clearly.

Days	Focus	Deliverable
1-5	Mark levels on one instrument, daily chart, three levels maximum	Screenshot each day; note which levels price respected
6-10	Draw zones instead of lines; size them deliberately	A one-page zone-drawing standard you will reuse
11-15	Log every touch: bounce, break or fakeout	Tallies in three columns. Which outcome dominates on your instrument?
16-20	Paper-trade the retest of broken levels only	20 logged setups with R multiples recorded
21-25	Add volume and higher-timeframe filtering	Score each setup with the 10-point checklist before entry
26-30	Review, then trade the highest-scoring setups with small real size	Expectancy calculation across the whole month

Journal fields that actually matter

Date and instrument · timeframe · level type (horizontal, trendline, average, round number) · checklist score out of 10 · entry, stop, target · planned R · outcome in R · what the level did (held, broke, faked) · one sentence on whether the process or the outcome was wrong. That last column is the one most traders skip and the only one that compounds.

A benchmark to aim for by day 30: you should be able to look at any chart and state, within a minute, the two prices that matter and what would have to happen for each to be invalidated. If you can do that consistently, the reading skill is in place and the remaining work is execution discipline.

CHAPTER 10 · REFERENCE

Glossary and risk disclosure

Term	Meaning
Support	A price area where buying pressure has repeatedly halted or reversed declines[web:35]
Resistance	A price area where selling pressure has repeatedly halted or reversed rallies[web:42]
Zone	A band of prices rather than a single line, reflecting where orders cluster[web:36]
Role reversal / polarity	A broken support acting as resistance, or vice versa[web:34]
Retest	Price returning to a broken level from the other side[web:46]
False breakout / fakeout	A move beyond a level that fails and reverses back inside[web:44]
Confluence	Two or more independent reasons for the same price to matter
R multiple	Profit or loss expressed as a multiple of the initial risk
Expectancy	Average R per trade: (win rate x avg win) - (loss rate x avg win)
Tick volume	Count of price updates, used as a proxy for volume in spot FX
VWAP	Volume-weighted average price for a session

Risk disclosure

This document is educational material. It is not investment advice, a recommendation, or an offer to buy or sell any financial instrument. Support and resistance is a descriptive framework for organising chart observations; it does not predict prices and no level is guaranteed to hold. Nothing in this guide accounts for your objectives, financial situation or needs.

Leveraged products such as CFDs and spot FX carry a high risk of rapid loss and are not suitable for everyone. A large majority of retail investor accounts typically lose money when trading CFDs with retail providers. Past price behaviour at a level is not indicative of future behaviour. Worked examples use hypothetical figures for illustration only.

Before trading, confirm the rules that apply where you live: marketing and promotion of CFDs to retail clients is restricted in several jurisdictions, and leverage limits, negative balance protection and appropriateness assessments vary by regulator. If you are unsure, seek independent, licensed advice.

Compiled 2 November 2026. Diagrams are stylised illustrations generated for this guide, not historical price data.